

Users of Accounting Information

External parties:	use information for making decisions about the company.
Investors	
Government authorities	
Internal managers...	
use information for short-term planning and controlling routine operations	
use information for making nonroutine decisions and formulating overall policies and long-range plans.	

Management Accounting

What is Management Accounting?

It is the process of identifying, measuring, accumulating, analyzing, preparing, interpreting, and communicating information that managers use to fulfill organizational objectives.

Cost Accounting

It provides information for both management accounting and financial accounting.

It measures and reports financial and nonfinancial data.

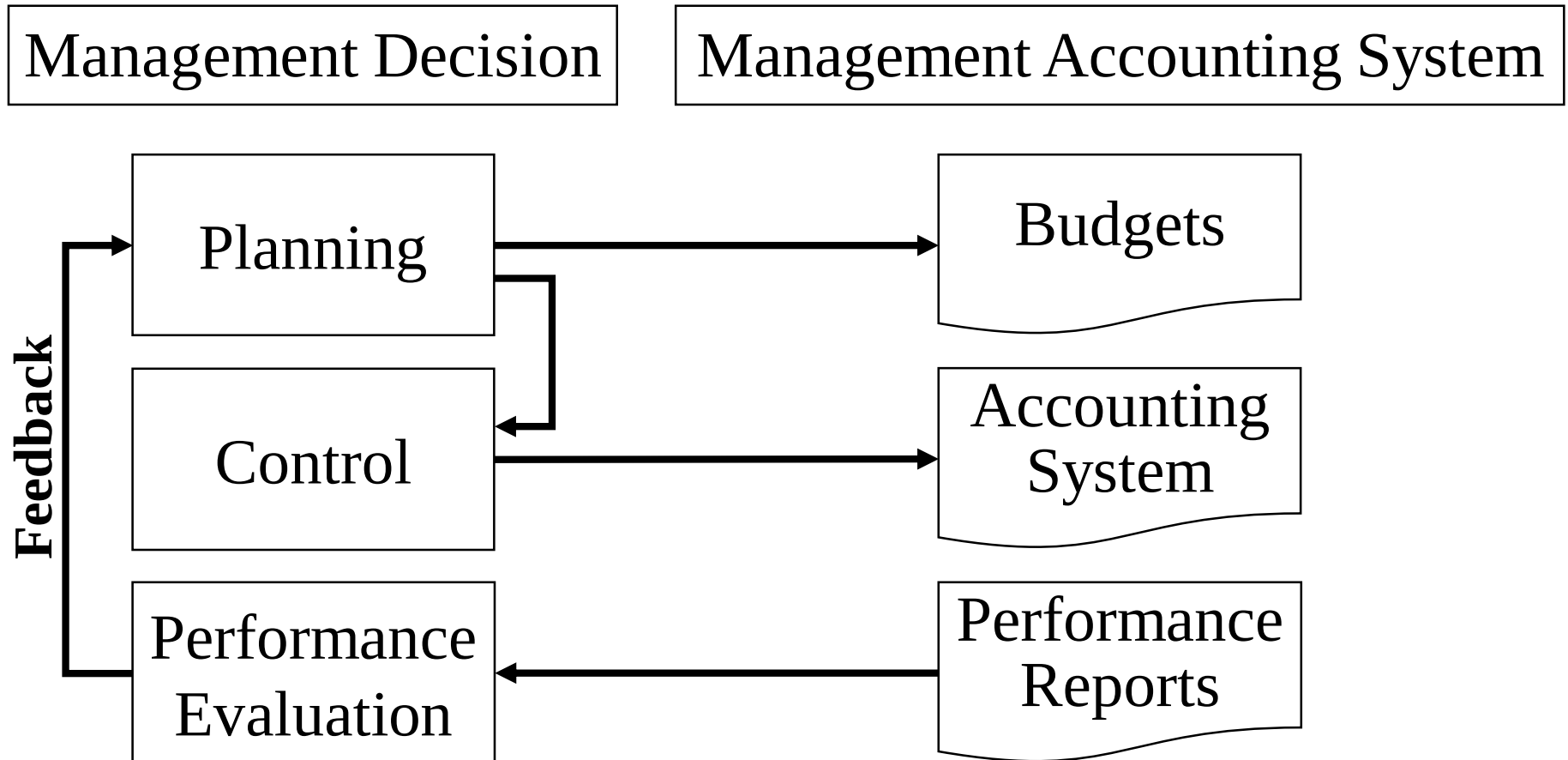
Cost Management

It describes the activities of managers in **planning and control** of costs.

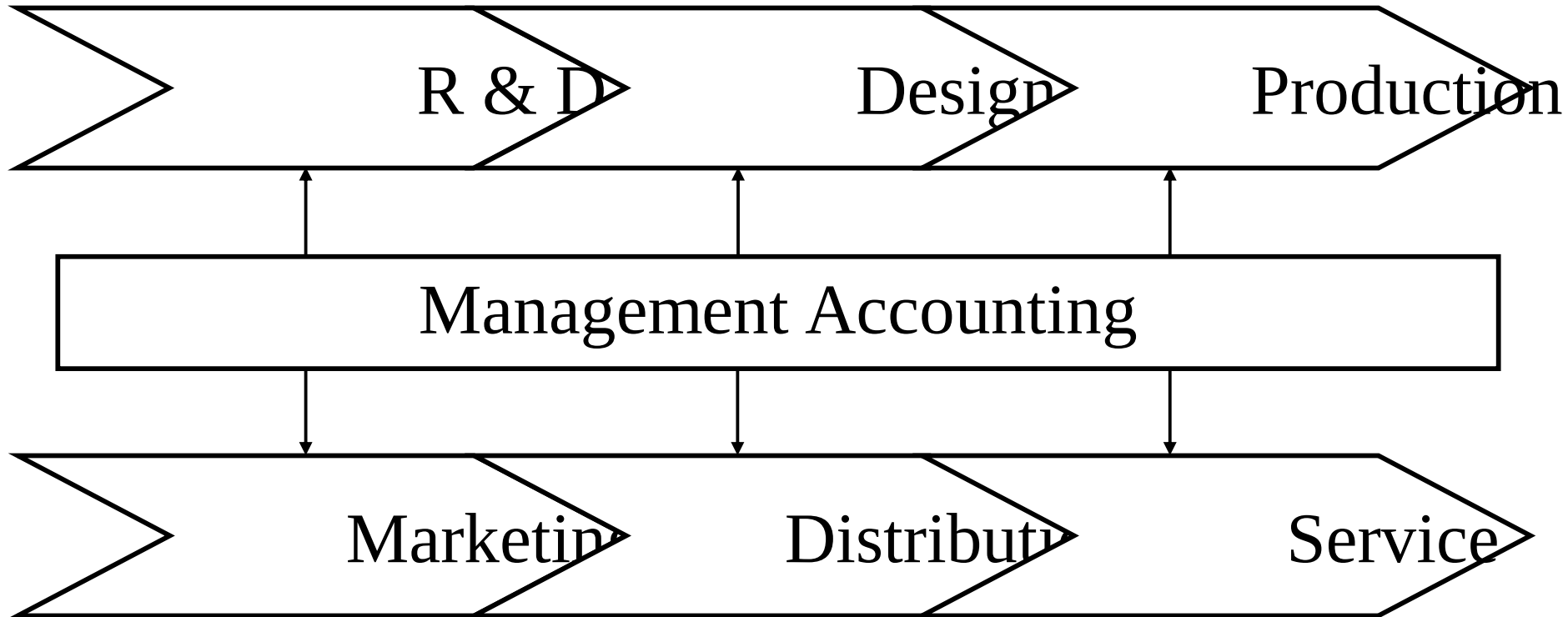
It includes the continuous reduction of costs.

It is a key part of general management strategies and their implementation.

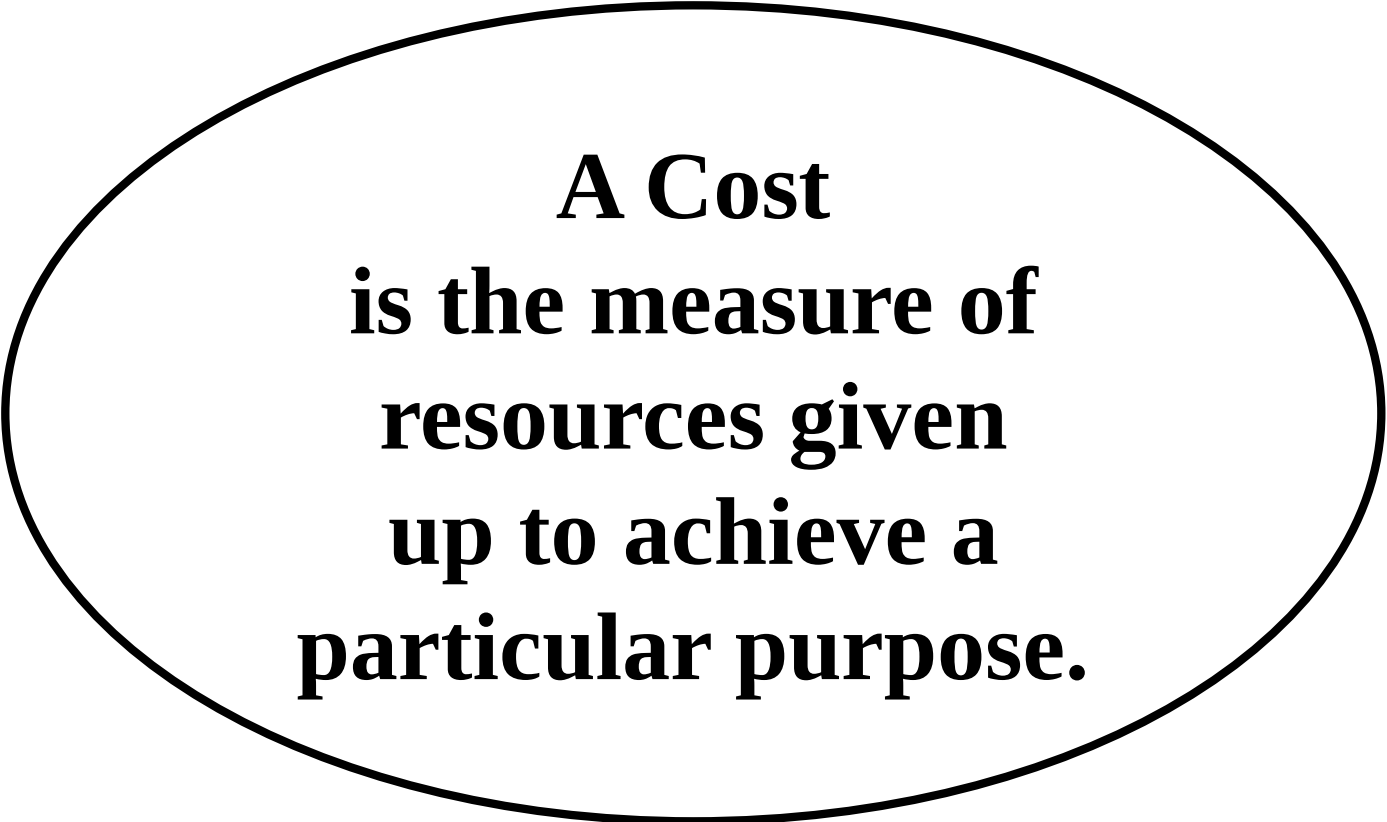
Planning and Controlling



Value Chain



What Do We Mean By a Cost?



**A Cost
is the measure of
resources given
up to achieve a
particular purpose.**

Cost Classifications



Cost behavior means how a cost will react to changes in the level of business activity.

- **Total variable costs change when activity changes.**
- **Total fixed costs remain unchanged when activity changes.**

Cost Classifications

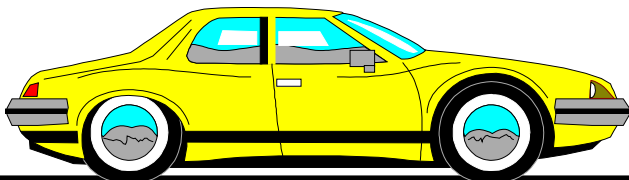
Summary of Variable and Fixed Cost Behavior

Cost	In Total	Per Unit
Variable	Total variable cost changes as activity level changes.	Variable cost per unit remains the same over wide ranges of activity.
Fixed	Total fixed cost remains the same even when the activity level changes.	Fixed cost per unit goes down as activity level goes up.

Direct and Indirect Costs

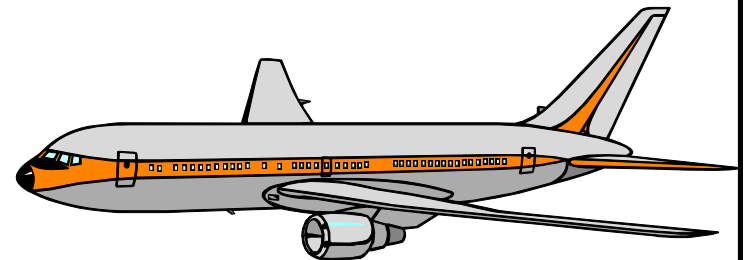
Direct costs

- Costs that can be easily and conveniently traced to a product or department.
- Example: cost of paint in the paint department of an automobile assembly plant.



Indirect costs

- Costs that must be allocated in order to be assigned to a product or department.
- Example: cost of national advertising for an airline is indirect to a particular flight.



Direct and Indirect Costs

- **A cost can be direct to the department, but indirect to units of product produced in the department.**
 - **Example: department manager's salary.**

- **Tracing costs directly to departments or products facilitates responsibility accounting**

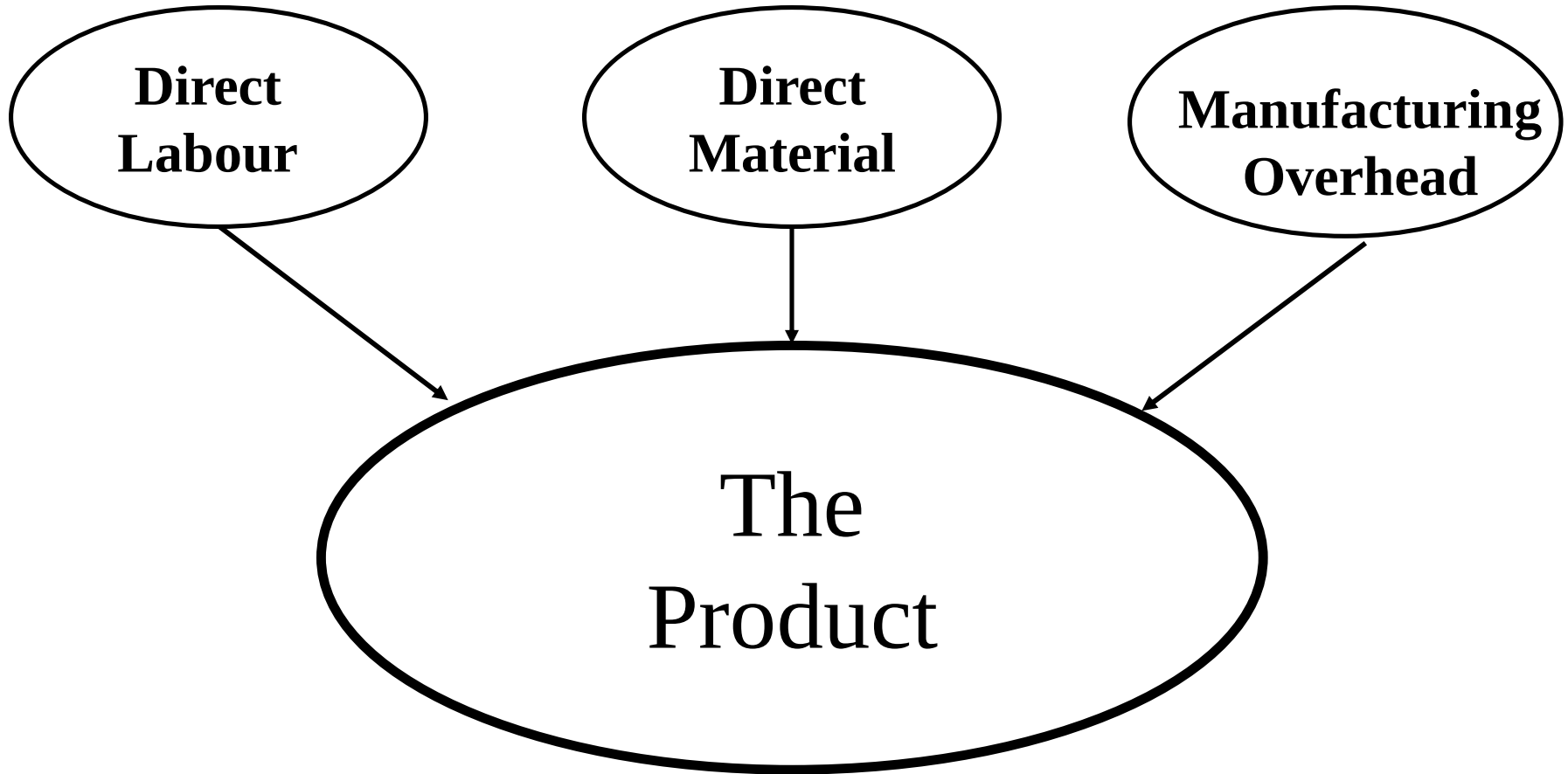


Controllable and Uncontrollable Costs

A cost that can be significantly influenced by a manager is a controllable cost.

Cost item	Manager	Classificaton
Cost of food used in a restaurant	Restaurant manager	Controllable
Cost of national advertising by a restaurant chain	Restaurant manager	Uncontrollable

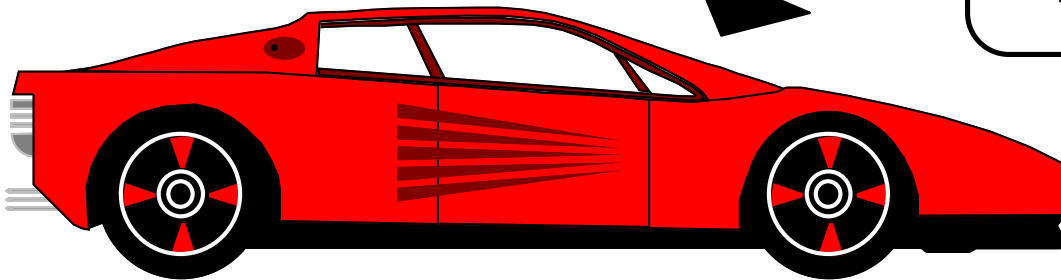
Manufacturing Costs



Direct Material

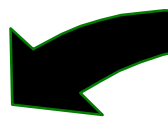
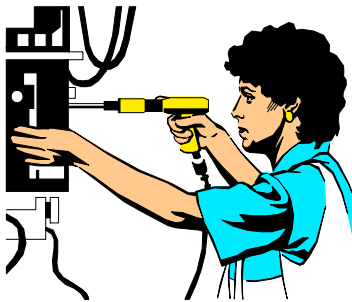
Cost of raw material that is used to make, and can be conveniently traced, to the finished product.

Example:
**Steel used to
manufacture
the automobile.**



Direct Labour

Cost of salaries, wages, and fringe benefits for personnel who work directly on manufactured products.



Example:
**Wages paid to an
automobile assembly
worker.**

Manufacturing Overhead

All other manufacturing costs

**Indirect
Material**

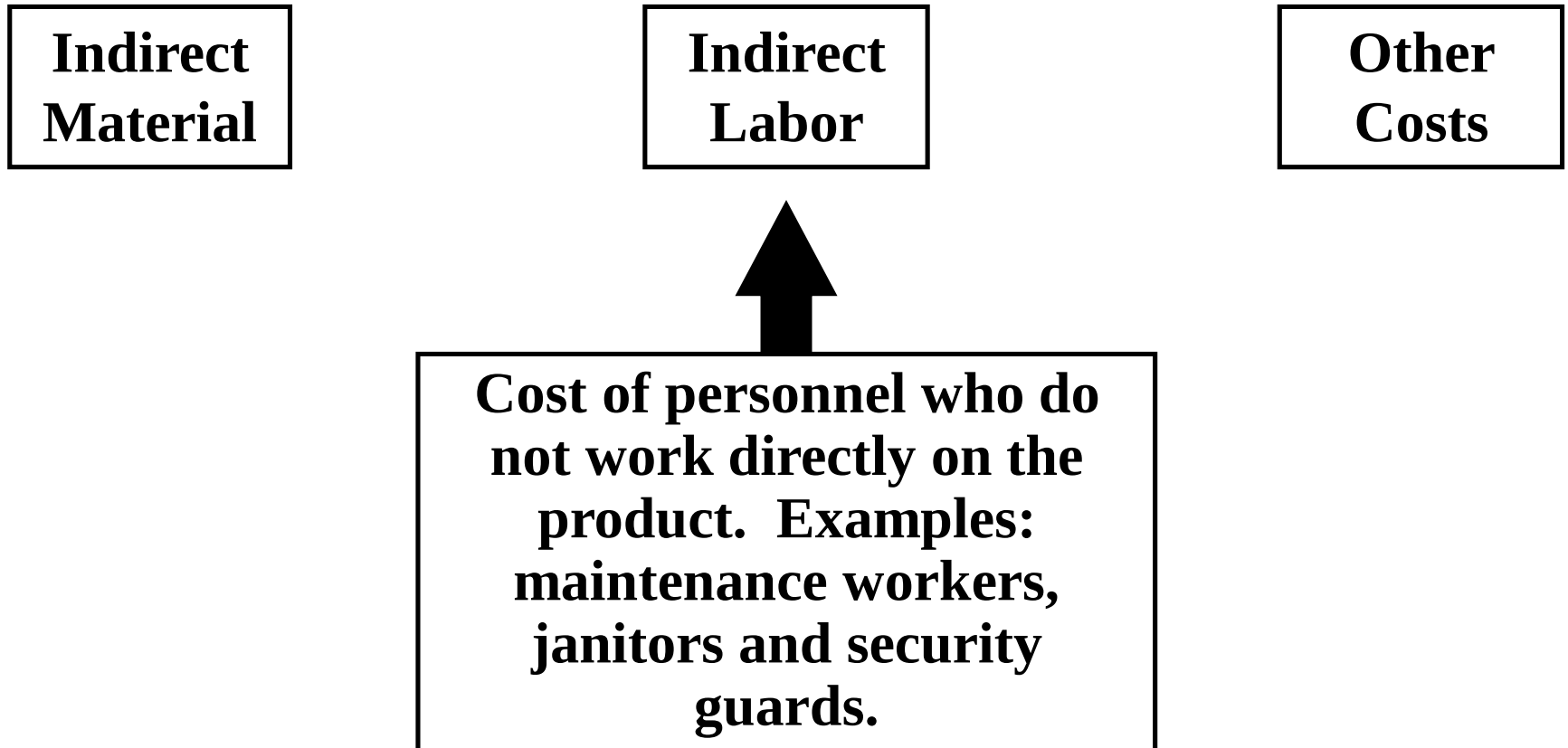
**Indirect
Labour**

**Other
Costs**

**Materials used to support the
production process. Examples:
lubricants and cleaning supplies
used in an automobile assembly
plant.**

Manufacturing Overhead

All other manufacturing costs



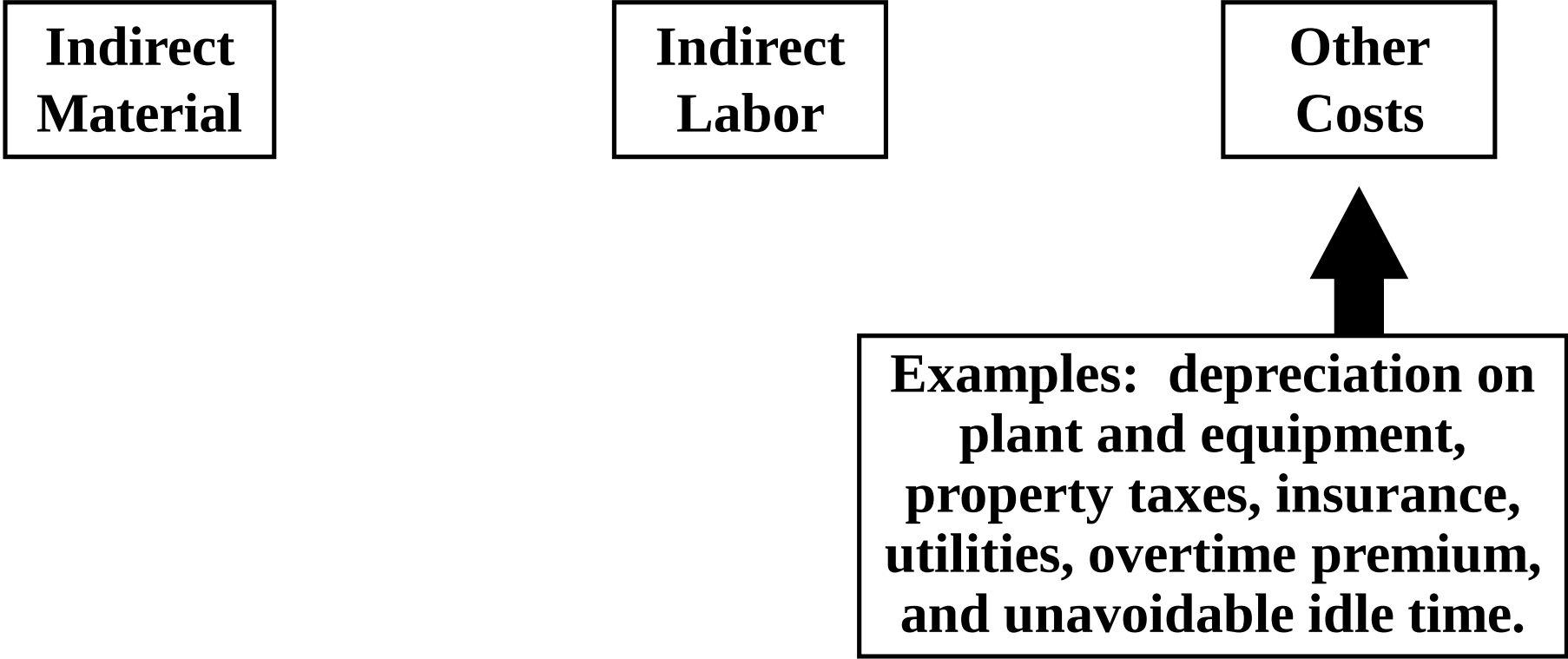
Manufacturing Overhead

All other manufacturing costs

**Indirect
Material**

**Indirect
Labor**

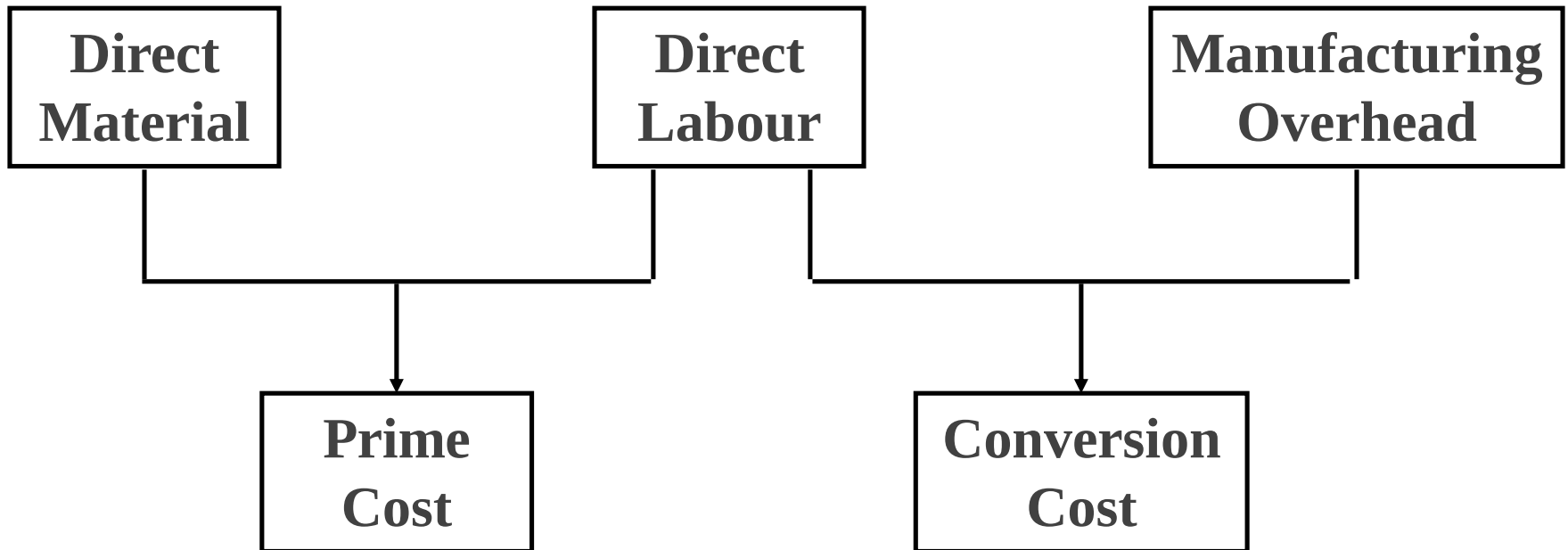
**Other
Costs**



**Examples: depreciation on
plant and equipment,
property taxes, insurance,
utilities, overtime premium,
and unavoidable idle time.**

Classifications of Costs in Manufacturing Companies

Manufacturing costs are often combined as follows:



Cost Classifications on Financial Statements – Balance Sheet

Merchandiser

Current Assets

- Cash
- Receivables
- Prepaid Expenses
- Merchandise Inventory

Manufacturer

Current Assets

- Cash
- Receivables
- Prepaid Expenses
- Inventories
 - Raw Materials
 - Work in Process
 - Finished Goods

Manufacturing Cost Flows

Costs

Material Purchases

Direct Labor

Manufacturing
Overhead

Selling and
Administrative

Balance Sheet Inventories

Raw Material

Work in
Process

Finished
Goods

Period Expenses

Income Statement Expenses

Cost of
Goods
Sold

Selling and
Administrative



Manufacturing Cost Flows

Costs

Material Purchases

Direct Labor

Manufacturing
Overhead

Selling and
Administrative

Balance Sheet Inventories

Material, labor and
manufacturing
overhead costs
remain in inventory
until the product is
sold, so they are
sometimes called
inventoriable costs.

Period Expenses

Income Statement Expenses

Cost of
Goods
Sold

Selling and
Administrative



Manufacturing Company

BALANCE SHEET

Inventoriable Costs

Materials
Inventory



Work in
Process
Inventory



Finished
Goods
Inventory

INCOME STATEMENT

Revenues

deduct

Cost of
Goods Sold

**Equals Gross Margin
deduct**

Period
Costs

Equals Operating Income

when
sales
occur



Schedule of Cost of Goods Manufactured

Comet Computer Corporation

Schedule of Cost of Goods Manufactured

Raw material used	\$ 134,980
Direct labor	50,000
Total manufacturing overhead	<u>230,000</u>
Total manufacturing costs	\$ 414,980
Add: Work-in-process inventory, January 1	<u>120</u>
Subtotal	\$ 415,100
Deduct: Work-in-process inventory, December 31	<u>100</u>
Cost of goods manufactured	<u><u>\$ 415,000</u></u>

Computation of Cost of Raw Material Used

Raw-material inventory, January 1	\$ 6,000
Add: Purchases of raw materials	<u>134,000</u>
Raw material available for use	140,000
Deduct: Raw material inventory, December 31	<u>5,020</u>
Raw material used	<u><u>\$ 134,980</u></u>

Schedule of Cost of Goods Manufactured

Raw material used	<u><u>\$ 134,980</u></u>
Direct labour	50,000
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Add: Work-in-process inventory, January 1	<u>120</u>
Subtotal	\$ 415,100
Deduct: Work-in-process inventory, December 31	<u>100</u>
Cost of goods manufactured	<u><u>\$ 415,000</u></u>

Schedule of Cost of Goods Manufactured

Include all direct labor costs incurred during the current period.

Schedule of Cost of Goods Manufactured

Raw material used	\$ 134,980
Direct labour	50,000
Total manufacturing overhead	<u>230,000</u>
Total manufacturing costs	\$ 414,980
Add: Work-in-process inventory, January 1	<u>120</u>
Subtotal	\$ 415,100
Deduct: Work-in-process inventory, December 31	<u>100</u>
Cost of goods manufactured	<u><u>\$ 415,000</u></u>

Computation of Total Manufacturing Overhead

Indirect material	\$ 10,000
Indirect labor	40,000
Depreciation on factory	90,000
Depreciation on equipment	70,000
Utilities	15,000
Insurance	5,000
Total manufacturing overhead	<u>\$ 230,000</u>

Schedule of Cost of Goods Manufactured

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Total manufacturing costs	\$ 414,980
Add: Work-in-process inventory, January 1	<u>120</u>
Subtotal	\$ 415,100
Deduct: Work-in-process inventory, December 31	<u>100</u>
Cost of goods manufactured	<u>\$ 415,000</u>

Schedule of Cost of Goods Manufactured

Beginning work-in-process inventory is carried over from the prior period.

Comet Computer

Schedule of Cost of Goods Manufactured

Raw material used	\$ 134,980
Direct labor	50,000
Total manufacturing overhead	230,000
Total manufacturing costs	\$ 414,980
Add: Work-in-process inventory, January 1	120
Subtotal	\$ 415,100
Deduct: Work-in-process inventory, December 31	100
Cost of goods manufactured	<u>\$ 415,000</u>

Schedule of Cost of Goods Manufactured

Ending work-in-process inventory contains the cost of unfinished goods, and is reported in the current assets section of the balance sheet.

Schedule of Cost of Goods Manufactured

Raw material used	\$ 134,980
Direct labour	50,000
Total manufacturing overhead	<u>230,000</u>
Total manufacturing costs	\$ 414,980
Add: Work-in-process inventory, January 1	<u>120</u>
Subtotal	\$ 415,100
Deduct: Work-in-process inventory, December 31	<u>100</u>
Cost of goods manufactured	<u><u>\$ 415,000</u></u>

Income Statement for a Manufacturer

Comet Computer Corporation

Income Statement

For the Year Ended December 31, 20X2

Sales revenue	\$ 700,000
Less: Cost of goods sold	415,010
Gross margin	\$ 284,990
Selling and administrative expenses	174,490
Income before taxes	\$ 110,500
Income tax expense	30,000
Net income	\$ 80,500

Income Statement for a

Comet Computer Corporation
Schedule of Cost of Goods Sold
For the Year Ended December 31, 20X2

Finished-goods inventory, Jan. 1	\$ 200
Add: Cost of goods manufactured	<u>415,000</u>
Cost of goods available for sale	415,200
Deduct Finished-goods inventory, Dec. 31	<u>190</u>
Cost of goods sold	<u><u>\$ 415,010</u></u>

For the Year Ended December 31, 20X2

Sales revenue	\$ 700,000
Less: Cost of goods sold	<u>415,010</u>
Gross margin	\$ 284,990
Selling and administrative expenses	<u>174,490</u>
Income before taxes	\$ 110,500
Income tax expense	<u>30,000</u>
Net income	<u><u>\$ 80,500</u></u>